

regardless of the direction of the financial markets. These include a market-neutral strategy, in which the managers go long and short in equal amounts, thus negating the effect of the overall market movement. The idea of market-neutral strategies is to capture value from underpriced and overpriced securities.

There are a few advantages and many disadvantages to hedge funds. Low correlation is one advantage. Several styles of hedge funds exhibit low correlation with major asset classes such as stocks and bonds. That makes these funds an attractive investment for diversification. In addition, several hedge fund managers have produced higher returns than the stock markets with less risk. On the negative side, hedge funds are very expensive. The average management fee for a single fund is 1.5 percent per year, plus there is a profit incentive averaging 20 percent. In addition, hedge fund performance is notoriously inconsistent. Good performance by a fund one year does not ensure or even predict good performance the next. Finally, there are high barriers to entry. Hedge funds are available only to high-net-worth investors. The minimum investment of some funds is \$1 million or more.

There are three broad categories of hedge funds and several subcategories:

- *Arbitrage strategies.* Arbitrage is the practice of exploiting price inefficiencies in the marketplace. Pure arbitrage has no risk. The trades guarantee a return. Consider this very simple example. Assume XYZ stock is trading for \$42 per share on the New York Stock Exchange and \$41.90 on the London Stock Exchange. An investor can buy 1,000 shares in London for \$41,900 and simultaneously sell 1,000 shares in New York for \$42,000. The net gain to the investor is \$100 risk free. There are hundreds of arbitrage opportunities that present themselves on a daily basis if you have access to the information and can trade very inexpensively.
- *Event-driven strategies.* Event-driven strategies take advantage of corporate transaction announcements and other one-time events. An example would be “distressed securities,” which involve investing in companies that are in or near bankruptcy. Another type of event-driven strategy is an activist fund, which is predatory in nature. The managers of an activist fund take sizable positions in small, flawed companies